



NEED TO KNOW

- › **Philanthropic sector** Alternative umbrella term for the not-for-profit sector or universe
- › **501(c) corporation** An IRS-recognized nonprofit; one of several types of nonprofits, organized for purposes specifically designated in the Internal Revenue Code

- › **Associated charity** An organization related to a main charity that takes on a particular aspect of the charity's work
- › **Payouts** 5 percent of assets that private foundations must pay out each year; no such requirements exist for public charities

NOT-FOR-PROFIT STRUCTURE



Chairman coordinates work of the directors.



Board of directors are usually unpaid; may also be called the board of trustees.



Committees formed by board members carry out specific tasks such as fundraising.



Administration staff often include a proportion of voluntary workers.

Nongovernmental organization (NGO)

Funded by government or by international donor agencies such as the World Health Organization (WHO); operate independently

Mutual

Raises funds from members (usually customers); often takes the form of financial institutions; profits reinvested in the mutual or to sustain or grow the organization

Chamber of commerce

Chambers from various regions gather to promote trade, investment, and cooperation; usually funded by subscriptions from local businesses

Social enterprise

May sell goods or services to fund community projects; any surplus revenue reinvested in the enterprise for the community

Charity

Must be registered as a charity; tax exempt; all resources must be devoted to the charity's stated charitable activities; may be organized as a trust, corporation, or association